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Not long thereafter, I learned an executive had taken some company-owned lumber and nails with which he constructed a dog kennel in his back yard. Although the lumber came from old, dismantled packing crates, I felt he'd set a dangerous precedent which could lead to all kinds of trouble and cause pilferage losses to soar if employees learned he'd gotten away with it. Since he was a valuable man, I did not want to fire him and relied on another applied-psychology stratagem to handle the situation. I sent the man a pleasantly worded memorandum, asking for a detailed inventory of the material he'd taken and saying I would have its appraised value charged against his salary.

The inventory was prepared; the appraisal showed the total value to be about four dollars, and this sum was duly charged against his pay. I got the point across, not only to the executive concerned, but also to the thousands of Spartan employees, for the story made the rounds rapidly.

We had remarkably little pilferage loss from then on. The workers, realizing that not even the "brass" could get away with appropriating company property, evidently took the lesson to heart themselves.

It should be obvious that the integrity of management personnel is a decisive factor in creating a sound management psychology that will work with subordinates, superiors, equals, customers and anyone else with whom executives or their company has contact. Executive integrity is a many, faceted thing. For example, the good executive who practices sound management psychology realizes he cannot bluff those with whom he deals, whether they be subordinates or superiors. Subordinates in particular can sense when the boss is bluffing, when he does not know the answer to a question or problem or has made a mistake and is trying to cover up. Nor should the

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executive resort to buck passing. Bluffing will only cause loss of respect, while a frank admission of error or ignorance will gain human respect.